Meeting title NUCLEAR DECOMMISSIONING AUTHORITY BOARD MEETING

Date and time TUESDAY 29 OCTOBER 2019, 12.30 – 15.30

Location CHAPELCROSS SITE

MINUTES

Present

Tom Smith	Chairman
Janet Ashdown	Senior Non-Executive Director
Evelyn Dickey	Non-Executive Director
Volker Beckers	Non-Executive Director
Rob Holden	Non-Executive Director
David Long	Non-Executive Director, UK Government Investments (UKGI)
Michelle Heath	Non-Executive Director
David Peattie	Group Chief Executive Officer (CEO)

In Attendance

Alan Cumming	Group Director of Nuclear Operations (DNO)
Andrew Oldham	Acting Chief Financial Officer (CFO)
Paul Vallance	Group Director of Communications and Stakeholder Relations
Neil Harnby	Group General Counsel and Company Secretary
Jenny McGeough	Board Observer
Elizabeth Hodgson	Deputy Company Secretary

Item 1 Procedural and Compliance

1.1 There were no apologies for absence and the Chair noted that a quorum was present. The Chair welcomed Michelle Heath to her first meeting as a Non-Executive Director and Neil Harnby as General Counsel and Company Secretary. The Board requested the Chair pass on its thanks to Neil Hewlett for his hard work and diligence as General Counsel and Company Secretary.

1.2 There were no additional conflicts of interest to declare.

1.3 Members reviewed and, subject to two amendments to paragraphs 3.5.4 and 4.1.6, approved the minutes from the meeting held on 19 September 2019.

1.4 Members noted the Decision Record from the meeting held on 19 September 2019, noting it should align to the changes to the minutes.

Board Matters

1.5 The Chair informed Members he had met with the Chair of the Nuclear Liabilities Fund. The Chair and CEO had met with the Permanent Secretary earlier in October and the meeting was supportive but naturally challenging on certain issues. The Chair met with the Chair of Radioactive Waste Management Limited and was impressed with his optimism and determination.

1.6 The Board confirmed Michelle Heath's appointment to the Safety and Security Committee and the Programmes and Projects Committee. This means each Committee has a membership of

three Non-Executive Directors (as well as Executive Directors in some cases). The Board noted the Chair will step down from the Programmes and Projects Committee.

1.7 The Group CEO provided an update on the judicial review into the Magnox Inquiry and confirmed the approach being taken. The Group CEO announced the appointment of the new Group CFO, who will join in 2020 and will become a Member of the Board. The Group CEO noted substantial work has been commissioned covering all elements of the Magnox contract close-out and this will be provided to the Board in due course.

Item 2 Safety Update

2.1 The Group DNO noted that Calder Hall has completed defueling and the last movement of spent fuel from Wylfa arrived at Sellafield site. This is a significant step in reducing the nuclear risk at the sites.

2.2 [Minute redacted – s.36 Policy]

2.3 The Group DNO noted the successful Health and Wellbeing Awards in Manchester and the fourth HSE Directors' meeting, which focused on demolition and lessons learned. Safety performance remains good for most of the Group and there are improving trends in safety walkabout and training pull out metrics. A human performance issue at Hinkley Point was noted. Improvements are needed in the leadership of the Dounreay site and the Group DNO is holding a meeting with Dr Paul Dale of SEPA.

2.4 The Group DNO provided an update on recruitment of his team. The Group CEO acknowledged the Group DNO's leadership and drive in improving safety around the estate.

2.5 The Group DNO noted the Environment Agency is pleased with NDA's approach to asset management and the updated report has not yet been received.

2.6 The Board noted the Safety Update.

Item 3 Main Board Matters

NDA Sellafield Programme Director, [Minute redacted – s.40 Personal], NDA Programme Manager, [Minute redacted – s.40 Personal], SL Head of Analytical Services Programme, [Minute redacted – s.40 Personal]l and SL Head of Programme for Replacement Analytical Services, [Minute redacted – s.40 Personal], joined the meeting by telephone.

3.1 Sanction: Analytical Services Revised Programme Business Case

3.1.1 The NDA Sellafield Programme Director explained the two papers cover the programme business case and the specific RAP project. The Analytical Services Revised Programme Business Case has been brought for approval now as RAP is a major component of the Programme. The main changes in the revised document are the recognition of changes in site priorities, the closure of existing facilities and the deterioration of the asset. Low active analysis will be outsourced, removing scope.

3.1.2 The Chair of the Programmes and Projects Committee explained the papers had been pulled from the previous Committee to commission additional review, the results of which are within the pack. The majority of the project has been confirmed as new build rather than refurbishment, which has helped Members become more comfortable.

3.1.3 [Minute redacted – s.36 Policy]

3.1.4 The Group CEO and Group DNO confirmed they are now content with the business case and agreed this is the correct approach. This view has been validated by the PPP partners.

3.1.5 The Board approved the revised Programme Business Case, noting that the Replacement Analytical project is the subject of a specific request that requires HMG approval.

Replacement Analytical Services (RAP) Outline Business Case (OBC)

3.1.6 The NDA Sellafield Programme Director explained the RAP is the key project within the Analytical Services Programme, and SL has selected a preferred option to develop the existing NNL Central Laboratory to provide the required capabilities for the analysis of nuclear materials. The request for release to the project [Minute redacted – s.43 Commercial] covers completion of detail design. Over [Minute redacted – s.43 Commercial] of this total is early risk mitigation recognising the risks of developing an existing facility.

3.1.7 The NDA Sellafield Programme Director clarified that this was not a full refurbishment but rather a re-purposing of the facility, with [Minute redacted – s.43 Commercial] new build scope in an extension to the current building. Equipment will be installed but not in operational areas. The interface with the existing asset is minimal and arrangements have, in the main, been made by modifications to the lease. SL scope will be treated as a priority. NNL are on the Programme Board and a collaboration agreement is in place.

3.1.8 The risks identified by the Programmes and Projects Committee have all been dealt with in the revised report and the review is supported by PPP partners. PPP partners will have full delivery accountability from November 2019.

3.1.9 Members queried whether *all* the items in the P50 request are on the critical path and noted the contingency seems large for design work. The SL Head of Programme acknowledged the substantial amount of sanction at this stage but explained it is due to an understanding of the asset and approach. The investment is to provide a clear construction zone, move existing supporting plant and develop some analytical equipment. The [Minute redacted – s.43 Commercial] therefore covers both critical path and de-risking activities. The contingency level recognises the cost associated with the enabling works and has been benchmarked across similar international facilities and non-nuclear facilities. As a general point, the Board requested more explicit information be given on reference points.

3.1.10 Members queried at what point the project is baselined, noting this is critical for measuring PPP success. It was confirmed the baseline is set at FBC stage. The Board requested updates on progress in setting the definitive baseline price for the FBC.

Action 01: SL Programme Director to update Board on progress in setting definitive baseline price for RAP FBC.

3.1.11 Members requested the basis of the estimates and it was explained the near-term works are predominantly based on prices from the supply chain then based on SL norms in delivery stage. Members discussed the wider opportunity for NNL to support UK PLC.

3.1.12 The Group CEO explained he had called in the Project from Programmes and Projects Committee as the spend is [Minute redacted – s.43 Commercial] and it is imperative the correct approach is taken. The Group CEO thanked his team for the rapid response to his request and following the positive completion of the Accounting Officer Review commended the business case to the Board.

3.1.13 The Board endorsed the Project Outline Business Case for submission to PIC, with a range of [Minute redacted – s.43 Commercial]. The Board agreed that the sanction released to Sellafield is the escalated P50 for this stage [Minute redacted – s.43 Commercial] with the remaining P80 sanction [Minute redacted – s.43 Commercial] to be held by the NDA.

NDA Sellafield Programme Director, [Minute redacted – s.40 Personal]*, NDA Programme Manager,* [Minute redacted – s.40 Personal]*, SL Head of Analytical Services Programme,* [Minute redacted – s.40 Personal]*l and SL Head of Programme for Replacement Analytical Services,* [Minute redacted – s.40 Personal] *left the meeting.*

3.2 High Integrity Stainless Steel Containers (HISSC) Update

3.2.1 The Group CEO explained the background to the update following the Programmes and Projects Committee's questioning of the direct award to GEL. [Minute redacted – s.43 Commercial]

3.2.2 The Chair confirmed that, once ready, the paper should be brought straight to the Board and does not require a separate approval from the Programmes and Projects Committee.

3.3 Framework Document Update

3.3.1 The Acting CFO explained the Framework Document has been through several iterations since the Board last saw it and there are four outstanding issues remaining: [Minute redacted – s.36 Policy] NDA would also prefer the delegations to be in a separate document and changes are needed around the settlement of claims and tribunals and indemnities. It is expected the final document will be circulated to the Board by December with a summary of the key changes and with reference to specific questions raised by Members.

3.3.2 Mr Long confirmed the document has progressed significantly since July and [Minute redacted – s.36 Policy]. Members discussed the best approach for NDA.

3.4 Annual Planning Cycle Update

3.4.1 The Acting CFO presented the update, noting the approvals process in place for the Business Plan 2020/21 and Group Operating Plan 2020/21. The Chair observed the Board will be asked to approve Group Key Targets at the March 2020 Board and requested a more simple process than this year. Members questioned the level of engagement of HMG into the Business Plan.

Action 02: Head of Business Planning to confirm level of engagement with HMG regarding Business Plan.

3.4.2 The Board noted the Annual Planning Cycle approach.

Item 4 Performance Review

4.1 Programmes and Projects Committee Report

4.1.1 Members noted the written update from the Committee.

4.2 Safety and Security Committee Terms of Reference

The Chair of the Safety and Security Committee presented the revised terms of reference, which have been expanded to include sustainability, health and wellbeing and future plans. The Board approved the revised terms of reference for the Safety and Security Committee.

4.3 Performance Report

4.3.1 The Group CEO presented some key highlights from the Period 5 Performance Report and his CEO Report, updating the Board on the Exotics Project and noting NDA is very close to agreeing a flask arrangement which would result in [Minute redacted – s.43 Commercial]. An update was provided on the recruitment of the SL CEO.

4.3.2 The Chair noted the 'excellent date' for the Group Key Target for SL PPP mobilisation is 1 November 2019. The Group DNO confirmed the handover is for a number of projects (not just analytical services) and SL are slightly behind schedule. There is significant slippage with the Main Site Command Facility.

4.3.3 The Board noted the Performance Report.

4.4 Financial Position

4.4.1 The Acting CFO explained the Period 5 figures show [Minute redacted – s.36 Policy] against funding, which was sustained in Period 6. The impact of the flask decommissioning income on the Period 7 numbers will significantly reduce the deficit.

4.4.2 The Acting CFO informed the Board of the possibility of accessing the HMT reserve for additional funding. If [Minute redacted – s.36 Policy]income is not received NDA will approach HMT. A view will be taken in mid-November 2019. [Minute redacted – s.36 Policy]

4.4.3 Members discussed the nuclear provision and its accounting treatment including the impact on Magnox Limited financials.

4.5 Action Update

4.5.1 Members noted the Action Update, including the completed actions. The Board requested an earlier interim response to Action 1450 (facilities management lessons learned).

Item 5 Matters for Noting

The NDA Head of Sanction, [Minute redacted – s.40 Personal]*, joined the meeting by teleconference.*

5.1 Forward Agenda / Sanction Forward Plan

5.1.1 The Board noted the Forward Plan. It was confirmed that a Board dinner would take place on 2 December. The January meeting will include a lunch with the Permanent Secretary and the Magnox MD. The February meeting will include a strategy session. Members agreed the impact of technologies on improving NDA mission would be a useful and interesting topic. Mr Holden observed the Board does not hear much about NDA's socioeconomic agenda and responsibilities. It was noted that the socioeconomic strategy is being revised and can be presented to the Board at February's meeting.

5.1.2 The NDA Head of Sanction explained that of the six requests scheduled for the 3 December Board meeting, three have recently been approved by NDA Sanction Committee so there is a high degree of confidence these will be submitted. The flask decommissioning business case is for noting only as it falls within the Group CEO delegation. There is an amber likelihood of two business cases being submitted to the Board (HISSC and Magnox FM services). The NDA Head of Sanction outlined the PIC and TAP scheduling challenges.

5.1.3 The Board noted the update.

The NDA Head of Sanction, [Minute redacted – s.40 Personal]*, left the meeting.*

5.2 Any Other Business

5.2.1 Members noted the discussion over dinner regarding the need to shorten papers and were content to pursue a set limit of pages. Providing the Board with succinct summaries rather than including the full FBCs made the Board pack feel much fresher and shorter. Full FBCs could be included in the document library in Board Intelligence.

5.2.2 It was noted that the Board had received since the last meeting the following documents:

- Announcement of Non-Executive Director, email, 26 September 2019
- GDPR Briefing to Board, email, 26 September 2019
- Note from CEO on Spending Review, email 26 September 2019
- NDA Group Performance Report, email, 30 September 2019
- Michelle Heath biography, email, 30 September 2019
- NDA Chair Letter 2019, email, 23 September 2019
- SL CEO job specification, email, 4 October 2019
- Brexit update, email, 7 October 2019
- DSRL Press issue, email, 8 October 2019
- Update on GDF Site Evaluation Consultation, email, 14 October 2019
- BEIS priorities, email, 15 October 2019
- Board Briefing – Sellafield issue, email, 21 October 2019
- Brexit update, email, 21 October 2019
- CEO Report, email, 25 October 2019

5.2.3 Members thanked the Magnox team for the site visit and requested the Group CEO write a letter of thanks.

5.2.4 There being no other business, the meeting closed at 15.20

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Chairman

[Minute redacted – s.36 Policy]

Board Effectiveness

During dinner on 28 October, Members participated in a discussion on Board Effectiveness and reviewed the actions placed on the Board following the latest effectiveness survey. An updated action list will be produced.

Dumfries and Galloway Council

Prior to the Board meeting, Members were joined by representatives of Dumfries and Galloway Council and NDA's Head of Stakeholder Relations. The Dumfries and Galloway Council CEO, Gavin Stevenson, presented on the Borderlands Inclusive Growth deal and its importance to the economy of the area. The presentation included population metrics and existing businesses. Key and developing industries are energy (especially renewables) and creative businesses. Transport infrastructure needs improvement and there are limited educational opportunities for those without access to public transport.

The Scottish Government has accepted Dumfries and Galloway differs from the rest of Scotland and a separate economic agency has been set up for the area with a wide remit. The CX Partnership has agreed an MOU to support partner collaboration and a route map to deliver the vision. There are many opportunities and a unique location. A Green Book compliant business case is needed for HMG in the next 12 months to allow an increase in pace and ambition. Long term commitment is requested from NDA.

The Council thanked NDA for previous and current support